

TOWN OF CORNWALL
CONSOLIDATED FINANCIAL STATEMENTS
MARCH 31, 2019

CONTENTS

	PAGE
MANAGEMENT'S RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS	
INDEPENDENT AUDITOR'S REPORT	
CONSOLIDATED STATEMENT OF FINANCIAL POSITION	1
CONSOLIDATED STATEMENT OF OPERATIONS	2
CONSOLIDATED STATEMENT OF CHANGES IN NET DEBT	3
CONSOLIDATED STATEMENT OF CASH FLOW	4
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS	5 - 14
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS	15 - 21

MANAGEMENT'S RESPONSIBILITY FOR THE CONSOLIDATED FINANCIAL STATEMENTS

The accompanying consolidated financial statements of the Town of Cornwall are the responsibility of management and have been prepared in accordance with Canadian accounting standards for the public sector. A summary of the significant accounting policies are described in the consolidated financial statements. The preparation of consolidated financial statements necessarily involves the use of estimates based on management's judgment, particularly when transactions affecting the current period cannot be finalized with a certainty until future periods.

To meet its responsibility, management maintains a system of internal controls designed to provide reasonable assurance that assets are safeguarded, transactions are properly authorized and recorded in compliance with legislative and regulatory requirements, and reliable financial information is available on a timely basis for preparation of the consolidated financial statements. These systems are monitored and evaluated by management.

Mayor and Council meet with management and the external auditors to review the consolidated financial statements and discuss any significant financial reporting or internal control matters prior to their approval of the consolidated financial statements.

The consolidated financial statements have been audited by MRSB Chartered Professional Accountants Inc., independent external auditors appointed by the Town. The accompanying Independent Auditor's Report outlines their responsibilities, the scope of their examination and their opinion on the consolidated financial statements.

On behalf of the Town of Cornwall



Chief Administrative Officer

August 10, 2019

INDEPENDENT AUDITOR'S REPORT

TO THE MAYOR AND MEMBERS OF COUNCIL

Opinion

We have audited the accompanying consolidated financial statements of the Town of Cornwall, which comprise the consolidated statement of financial position as at March 31, 2019, and the consolidated statement of operations, changes in net debt and cash flow for the 15 month period then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Town of Cornwall as at March 31, 2019, and the results of its operations and its cash flow for the 15 month period then ended in accordance with Canadian accounting standards for the public sector.

Basis for Opinion

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the entity in accordance with the ethical requirements that are relevant to our audit of the consolidated financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Canadian accounting standards for the public sector and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the entity's ability to continue as a going concern, disclosing, as applicable, matters relating to going concern and using the going concern basis of accounting unless management either intends to liquidate the entity or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the entity's financial reporting process.

Auditor's Responsibility for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but it is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements. As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw our attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the entity to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MRSB Chartered Professional Accountants Inc

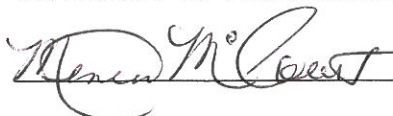
CHARLOTTETOWN, P.E.I.
AUGUST 10, 2019

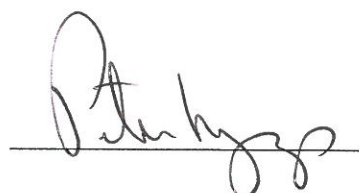
MRSB

**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
MARCH 31, 2019**

	2019	December 31, 2017
Financial Assets		
Unrestricted cash	\$ 27,799	\$ 600
Restricted cash	592,620	992,441
Accounts receivable	574,248	1,048,084
	<u>1,194,667</u>	<u>2,041,125</u>
Liabilities		
Bank indebtedness - Note 3	168,578	141,379
Operating loans - Note 4	800,000	900,000
Accounts payable and accrued liabilities	588,423	1,756,731
Deferred revenue - Note 5	641,637	918,454
Retirement obligation - Note 6	111,880	110,446
Long term debt - Note 7	4,107,300	4,661,463
	<u>6,417,818</u>	<u>8,488,473</u>
Net Debt - Statement 3	<u>(5,223,151)</u>	<u>(6,447,348)</u>
Non-Financial Assets		
Prepaid expenses	53,688	39,255
Tangible capital assets - Schedules 1 and 2	28,960,840	28,306,750
	<u>29,014,528</u>	<u>28,346,005</u>
Accumulated Surplus	<u>\$23,791,377</u>	<u>\$21,898,657</u>
Commitments - Note 8		
Contingencies - Note 9		
Municipal Position		
Accumulated surplus - Statement 2	<u>\$23,791,377</u>	<u>\$21,898,657</u>

ON BEHALF OF THE COUNCIL:

 Mayor

 Councilor

(Notes 1 to 18 are an integral part of these consolidated financial statements)

MRSB

**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF OPERATIONS
15 MONTHS ENDED MARCH 31, 2019**

	Budget 2019	Actual 2019	Actual 2017 (12 months)
Revenues			
Town - Schedule 3	\$ 3,565,178	\$ 4,968,825	\$ 2,779,144
Water and Sewer Utility - Schedule 4	1,663,250	2,708,671	2,523,372
Parks and Recreation - Schedule 5	485,755	642,175	508,273
	<u>5,714,183</u>	<u>8,319,671</u>	<u>5,810,789</u>
Expenditures			
Town - Schedule 3	2,774,940	3,958,982	2,964,204
Water and Sewer Utility - Schedule 4	1,115,075	1,478,352	1,144,115
Parks and Recreation - Schedule 5	1,023,625	989,617	762,707
	<u>4,913,640</u>	<u>6,426,951</u>	<u>4,871,026</u>
Change in Fund Balances	<u>\$ 800,543</u>	1,892,720	939,763
Accumulated Surplus - Beginning of Period		<u>21,898,657</u>	20,958,894
Accumulated Surplus - End of Period - Note 10		<u>\$ 23,791,377</u>	<u>\$ 21,898,657</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF CHANGES IN NET DEBT
15 MONTHS ENDED MARCH 31, 2019

	Budget 2019	Actual 2019	Actual 2017 (12 months)
Change in fund balances	\$ 800,543	\$ 1,892,720	\$ 939,763
Amortization of tangible capital assets	-	1,564,861	1,111,927
Purchase of tangible capital assets	(5,082,444)	(2,218,951)	(2,452,642)
Increase in prepaid expenses	-	(14,433)	(2,152)
Gain on disposal of tangible capital assets	-	(50,000)	(10,988)
Proceeds from disposal of tangible capital assets	-	50,000	10,988
Decrease (Increase) in Net Debt	\$ (4,281,901)	1,224,197	(403,104)
Net Debt - Beginning of Period		(6,447,348)	(6,044,244)
Net Debt - End of Period		\$ (5,223,151)	\$ (6,447,348)

(Notes 1 to 18 are an integral part of these consolidated financial statements)

MRSB

**TOWN OF CORNWALL
CONSOLIDATED STATEMENT OF CASH FLOW
15 MONTHS ENDED MARCH 31, 2019**

	2019	2017 (12 months)
Cash Flows From Operating Activities		
Change in fund balances	\$ 1,892,720	\$ 939,763
Amortization of deferred finance charges	-	12,773
Amortization of tangible capital assets	1,564,861	1,111,927
Gain on disposal of tangible capital assets	(50,000)	(10,988)
	<u>3,407,581</u>	<u>2,053,475</u>
Change in Non-Cash Working Capital		
(Increase) decrease in accounts receivable	473,836	(662,095)
Increase in prepaid expenses	(14,433)	(2,152)
Increase (decrease) in accounts payable and accrued liabilities	(1,168,307)	1,287,659
Increase (decrease) in deferred revenue	(276,817)	473,746
Increase in retirement obligation	1,434	995
	<u>(984,287)</u>	<u>1,098,153</u>
	<u>2,423,294</u>	<u>3,151,628</u>
Cash Flows From Capital Activities		
Purchase of tangible capital assets	(2,218,951)	(2,452,642)
Proceeds from disposal of tangible capital assets	50,000	10,988
	<u>(2,168,951)</u>	<u>(2,441,654)</u>
Cash Flows From Financing Activities		
Repayment of long term debt	(554,164)	(426,177)
Repayment of operating loans	(100,000)	400,000
	<u>(654,164)</u>	<u>(26,177)</u>
Increase (Decrease) in Cash	(399,821)	683,797
Cash - Beginning of Period	851,662	167,865
Cash - End of Period	<u>\$ 451,841</u>	<u>\$ 851,662</u>
Cash Consists of:		
Unrestricted cash	\$ 27,799	\$ 600
Restricted cash	592,620	992,441
Bank indebtedness	(168,578)	(141,379)
	<u>\$ 451,841</u>	<u>\$ 851,662</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

1. Description of Business

The Town of Cornwall ("the Town") was incorporated under the Charlottetown Area Municipalities Act and continued under the Municipal Government Act. The Town is a non-profit organization under the Income Tax Act. The Town manages the municipal operations and also provides sewer and water services to its residents.

2. Accounting Policies

Basis of Preparation

These consolidated financial statements of the Town of Cornwall have been prepared by management in accordance with Canadian accounting standards for the public sector.

These consolidated financial statements are prepared using the accrual basis of accounting. The accrual basis of accounting records revenue as it is earned and measurable. Expenditures are recognized as they are incurred and measurable based upon receipt of goods or services and/or the legal obligation to pay.

Funds from external parties and earnings thereon restricted by agreement or legislation are accounted for as deferred revenue until used for the purpose specified.

Government transfers, contributions and other amounts are received from third parties pursuant to legislation, regulation or agreement and may only be used for certain programs in the completion of specific work. In addition, certain user charges and fees are collected for which the related services have yet to be performed. Revenue is recognized in the period when the related expenditures are incurred or services performed.

Basis of Consolidation

These consolidated financial statements for the Town of Cornwall reflect the assets, liabilities, revenues, expenditures, change in net debt and change in financial position of the Town. The Town is comprised of the municipal operations plus all of the organizations that are owned or controlled by the Town and are, therefore, accountable to the Town Council for the administration of their financial affairs and resources. Included with the municipality is the following:

Cornwall Water and Sewer Utility Corporation

Cash

Cash comprises cash on hand, cash in banks and bank indebtedness.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

2. Accounting Policies (cont'd)

Accounts Receivable

Accounts receivable arise from sewer and water dues, Harmonized Sales Tax recoverable and government funding and miscellaneous receivables. An allowance for bad debts has been calculated through discussions with management, assessment of the other circumstances influencing the collectibility of amounts and using historical loss experience. Amounts deemed non-collectible are written off and deducted from the carrying value of the receivable. Amounts subsequently recovered from accounts previously written off are credited to the allowance account in the period of recovery.

Tangible Capital Assets

Tangible capital assets are recorded at cost which includes all amounts that are directly attributable to acquisition, construction, development or betterment of the asset. The cost, less residual value of the tangible capital assets, is amortized on a straight-line basis over the estimated useful life as follows:

Town Hall	25 years
Terry Fox Clubhouse	25 years
Terry Fox Sports Complex	5 and 15 years
Civic Centre	20 years
Maintenance and Utility building	25 years
Pool	3 years
Civic Centre equipment	3 years
Computer equipment	3 years
Pool equipment	3 years
Town equipment	3 years
Sidewalks/streets	10 years
Cenotaph	25 years
Tractor, trailer and trucks	3 years
Transit bus	15 years
Sewer system	83 1/3 years
Water system	83 1/3 years
Multipurpose Centre	3 years
Playground equipment	3 years
Park improvements	3 years
Motor equipment	3 years
Asset management	3 years

Cornwall Water and Sewer Utility Corporation anticipates recovery of all of the costs related to the waterline installation on Osprey Avenue from Ferry Road to Primrose Drive from the developer. Cornwall Water and Sewer Utility Corporation estimates the recovery to be approximately \$97,147.

The anticipated recovery of these costs has not been reflected in the financial statements as the events giving rise to the recovery have not yet occurred.

Non-Financial Assets

Non-financial assets are not available to discharge existing liabilities and are held for the use in the provision of services. They have useful lives extending beyond the current year and are not intended for sale in the normal course of operations. The change in non-financial assets during the period, together with the annual surplus, provides the consolidated change in net debt for the period.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

2. Accounting Policies (cont'd)

Government Transfers

Government transfers are the transfer of assets from senior levels of government that are not the result of an exchange transaction, are not expected to be repaid in the future, or the result of a direct financial return.

Government transfers are recognized in the financial statements as revenue in the period in which events giving rise to the transfer occur, providing the transfers are authorized, any eligibility criteria have been met, and reasonable estimates on the amounts can be determined.

Revenue Recognition

The Town follows the deferral method of accounting for contributions and grants. Restricted contributions are recognized as revenue in the year in which the related expenditures are incurred. Unrestricted contributions are recognized as revenue when received or receivable if the amount to be received can be reasonably estimated and collection is reasonably assured.

Property tax billings are assessed based on the market value of real property in the Town and are payable in each calendar year. Municipal tax rates are reviewed, established and approved annually by the Town council. These revenues are recognized monthly when billings come due.

Financial Instruments

Financial instruments are recorded at fair value when acquired or issued. In subsequent periods, financial assets with actively traded markets are reported at fair value, with any unrealized gains and losses reported in income. All other financial instruments are reported at amortized cost, and tested for impairment at each reporting date. Transaction costs on the acquisition, sale, or issue of financial instruments that are subsequently measured at amortized cost are shown as an adjustment to the carrying value of the related financial instrument.

Management Estimates

The presentation of the consolidated financial statements in conformity with Canadian accounting standards for the public sector requires management to make estimates and assumptions that affect the reported amount of assets and liabilities at the date of the consolidated financial statements, and the reported amounts of revenues and expenditures during the reporting period. Actual results could differ from management's best estimates as additional information becomes available in the future. The following are areas in which management makes significant accounting estimates:

- The amounts recorded for amortization of tangible capital assets on the consolidated statement of operations is subject to management's assessment of the estimated useful lives of the Town's tangible capital assets; and
- The recognized amounts of potential claims and liabilities depend on management's assessment of future costs and the probability these events will occur.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

3. Bank Indebtedness

	March 31, 2019	December 31, 2017
Town		
National Bank of Canada	\$ 168,578	\$ 16,736
Utility		
National Bank of Canada	-	124,643
	<u>\$ 168,578</u>	<u>\$ 141,379</u>

4. Operating Loans

Town		
National Bank - prime rate less 0.5%; interest due monthly; maximum limit of \$1,000,000; renewable June 30, 2019	\$ 400,000	\$ 600,000
Utility		
National Bank - prime rate less 0.5%; interest due monthly; maximum limit of \$550,000; renewable June 30, 2019	400,000	300,000
	<u>\$ 800,000</u>	<u>\$ 900,000</u>

The Town must maintain the following financial ratios at all times:

- Working capital of at least \$1,000
- Working capital ratio of at least 1:1

5. Deferred Revenue

New Deal Gas Tax Funding	\$ 545,279	\$ 866,576
Subdivision parkland reserve	87,067	32,249
Program funding	9,291	19,629
	<u>\$ 641,637</u>	<u>\$ 918,454</u>

Under the New Deal Gas Tax Funding for Incorporated Communities and the New Deal for Cities & Communities, the Town is allocated \$461,778 per year for fiscal years ending March 31, 2015 and 2016, \$491,624 for fiscal years ending March 31, 2017 and 2018, and \$521,471 for the fiscal year ending March 31, 2019. These funds, along with interest earned, must be used for eligible infrastructure and capacity building projects. Any funds received under this program, including interest earned, but not yet spent are recognized as deferred revenue at the end of the period.

During the period, the Town received Gas Tax funding of \$521,472, earned interest of \$303, and incurred eligible expenditures of \$843,072.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

6. Retirement Obligation

The Town accrues a retirement allowance for certain employees over the age of 50. The Town has calculated an estimated reserve based on one week retirement allowance for each employee anticipated to meet the criteria. The expense for the plan is equal to the change in estimated allowance for the period which was \$1,434 (2017 - \$995). The retirement obligation allowance is included in the restricted cash balance.

7. Long Term Debt

	March 31, 2019	December 31, 2017
National Bank of Canada - 3.00%; repayable in blended monthly installments of \$13,178; unsecured; amortized to April 2027; renewable April 3, 2022	\$ 1,134,073	\$ 1,286,366
National Bank of Canada - 3.40%; repayable in blended monthly installments of \$8,623; unsecured; amortized to April 2025; renewable November 20, 2019	1,129,557	1,209,197
National Bank of Canada - 2.65%; repayable in blended monthly installments of \$12,932; unsecured; amortized to July 2031; renewable July 20, 2026	1,035,525	1,192,499
National Bank of Canada - 4.70%; repayable in blended monthly installments of \$10,224; unsecured; amortized to August 2032; renewable July 26, 2020	671,330	781,961
National Bank of Canada - 3.25%; repayable in blended monthly installments of \$4,091; unsecured; amortized to February 2022; renewable February 1, 2022	136,815	191,440
	<u>\$ 4,107,300</u>	<u>\$ 4,661,463</u>

Principal portion of long term debt is expected to be repaid over the next five years as follows:

2020	\$ 1,523,133
2021	887,442
2022	314,629
2023	277,657
2024	285,599

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

8. Commitments

The Town has entered into an agreement with the Eastern School District for the period of October 19, 2005 to October 18, 2025 for the development of sports fields located on the Eastern School District lands, including responsibilities for each party. The agreement may be extended for a further ten years on the same terms if both parties agree to the extension. The Eastern School District agrees to lease to the Town the Eastern School District portion of the Sports Fields during the twenty year term and can be extended a further ten years. The Town shall have right of first refusal should the Eastern School District be desirous of selling its interest in the sports field.

The Town has entered into a lease agreement with DeLage Landen Financial Services for the lease of a photocopier, a contract agreement with the PEI Humane Society for animal control services, and a lease agreement with West River Church for use of space for the Youth Centre. The minimum payments due over the next two years are as follows:

2020	\$ 19,877
2021	11,832

During the fiscal period, positive results were achieved at two wellfield exploration sites. The Town intends to purchase approximately 30 acres of land for a total estimated cost of \$270,000. The payments to acquire the land will be allocated across two fiscal periods with approximately \$210,000 being paid in the 2019/20 year and the remaining \$60,000 being paid in the 2020/21 year.

9. Contingencies

The Town commenced a legal action against a resident for reimbursement of expenses incurred in the cleanup of a property. The resident has filed a crossclaim with no amount formally claimed as of yet. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from the resolution of these claims, such loss will be charged to operations in the year of resolution.

A statement of claim was filed against the Town, which seeks removal of a berm that the Town had constructed on another company's property. The claim alleges that the berm causes run-off and water damage to the company's buildings. The company seeks an unspecified amount for damages and other costs and expenses. The Town has filed a statement of defence, but the liability remains in dispute at the reporting date. In the opinion of management and legal counsel, the likelihood of any liability to the Town is unknown at this time. Should any loss result from future legal action, such loss will be charged to operations in the year of resolution.

10. Accumulated Surplus

	March 31, 2019	December 31, 2017
Unrestricted deficit	\$ (1,062,163)	\$ (1,746,630)
Investment in tangible capital assets - Note 11	24,853,540	23,645,287
	<u>\$ 23,791,377</u>	<u>\$ 21,898,657</u>

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

11. Investment in Tangible Capital Assets

	March 31, 2019	December 31, 2017
Tangible capital assets - Schedules 1 and 2	\$ 42,248,397	\$ 40,055,698
Accumulated amortization - Schedules 1 and 2	(13,287,557)	(11,748,948)
Long term debt - Note 7	(4,107,300)	(4,661,463)
	<u>\$ 24,853,540</u>	<u>\$ 23,645,287</u>

12. Government Transfers For Capital

Town

New Deals Gas Tax	\$ 1,158,228	\$ 13,281
Province of Prince Edward Island	97,761	-
ACOA - Canada 150 Community Infrastructure Program	-	32,472
	<u>1,255,989</u>	<u>45,753</u>

Water and Sewer Utility

Clean Water Wastewater Fund	618,854	1,241,848
New Deals Gas Tax	145,403	3,141
	<u>764,257</u>	<u>1,244,989</u>
	<u>\$ 2,020,246</u>	<u>\$ 1,290,742</u>

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

13. Government Transfers For Operations

	Budget 2019	Actual 2019	Actual 2017 (12 months)
Town			
Provincial equalization grant	\$ 487,126	\$ 487,127	\$ 442,390
Municipal Capital Expenditure Grantt	-	147,489	13,324
Other program support	-	5,600	28,200
Municipal support grant	-	-	400,082
	<u>\$ 487,126</u>	<u>\$ 640,216</u>	<u>\$ 883,996</u>

14. Administration Fee

During the period, the Town received a management fee totaling \$75,000 (2017 - \$60,000) from the Cornwall Water and Sewer Utility Corporation for payment of the administration costs incurred by the Town on behalf of the Utility. The transaction was in the ordinary course of business and was reflected at fair market value.

15. Non-Monetary Transaction

During the reporting period, the Town gave a parcel of land to C.H.A.N.C.E.S Inc. as remedy for failure to provide a right of first refusal on the sale of land in the area. The fair market value of the land on the date of transfer is estimated at \$50,000. The parcel had not previously been recognized on the accounting records of the Town, so the non-monetary transaction has been recorded in the consolidated financial statements as \$50,000 gain on disposal of tangible capital assets and \$50,000 included in donation expenditures.

16. Budget Figures

A reconciliation of the 2019 fiscal operating budget prepared by Council to the budget figures disclosed in the consolidated financial statements is as follows:

	2019
Town of Cornwall budgeted surplus	\$ 326,221
Add: Debt retirement	639,574
Less: Water and Sewer Utility 2017 surplus	(135,406)
Less: Town of Cornwall 2017 surplus	(59,846)
Add: Capital expenditures	30,000
	<u>\$ 800,543</u>

Amortization was not included in the budgeted expense figures in the statements of operations, change in net debt and schedules since it was not part of the scope of the Town's original operating budget.

The columns presented as budget on the statements of operations and the attached schedules were not subject to audit or review by the external auditor.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

17. Financial Instruments

The Town's financial instruments consist of cash, accounts receivable, bank indebtedness, operating loans, accounts payable and accrued liabilities, retirement obligation and long term debt.

The Town is exposed to various risks through its financial instruments and has a comprehensive risk management framework to monitor, evaluate and manage these risks. The following analysis provides information about the Town's risk exposure and concentration as of March 31, 2019.

Credit risk

Credit risk arises from the potential that a counter party will fail to perform its obligations. The Town is exposed to credit risk from customers. An allowance for doubtful accounts is established based upon factors surrounding the credit risk of specific accounts, historical trends and other information. The Town has a significant number of customers which minimizes concentration of credit risk.

Interest rate risk

Interest rate risk is the risk that the value of a financial instrument might be adversely affected by a change in the interest rates. In seeking to minimize the risks from interest rate fluctuations, the Town manages exposure through its normal operating and financing activities. The Town is exposed to interest rate risk primarily through its interest rates on operating loan and long term debt that could change upon the maturity date.

Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. The Town is exposed to this risk mainly in respect of receipt of government funding, long term debt and accounts payable.

TOWN OF CORNWALL
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

18. Segment Disclosure

The Town is a diversified municipal unit that provides a wide range of services to its citizens. For management reporting purposes the Town's operations and activities are organized and reported by segment. The major segments are as follows:

Water and Sewer Utility

This segment is responsible for the maintenance and operations of water and sewer services provided to residents and other customers.

Parks and Recreation

This segment is responsible for promoting and offering recreation opportunities and activities for its residents. Its tasks include the operations and maintenance of the Town parks and recreational buildings.

General Government

This segment is responsible for the overall financial and local government administration. Its tasks include, but are not limited to, daily accounting functions, preparation and coordination of annual audited consolidated financial statements, development of the annual budget, human resource functions for the entire municipality, maintenance of bylaws and policies, oversight of public works, maintenance of Town facilities, and administration of Town services.

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
TANGIBLE CAPITAL ASSETS
15 MONTHS ENDED MARCH 31, 2019

	Cost Beginning of Period	Cost End of Period	Disposals and Write- Downs	Disposals	Accum Amort Beginning	Amort in Period	Disposals	Accum Amort Ending	Schedule 1 Net Book Value
Land	\$ 1,740,478	\$ 1,740,478	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 1,740,478
Town Hall	1,929,547	1,929,547	-	-	914,454	96,228	-	1,010,682	918,865
Terry Fox Clubhouse	894,915	894,915	-	-	283,174	47,397	-	330,571	564,344
Terry Fox Sports Complex	3,668,193	845,764	-	-	2,422,893	388,277	-	2,811,170	1,702,787
Civic Centre	2,683,620	2,683,620	-	-	941,584	165,928	-	1,107,512	1,576,108
Maintenance and Utility building	362,348	362,348	-	-	190,813	18,117	-	208,930	153,418
Pool	100,483	100,483	-	-	100,483	-	-	100,483	-
Civic Centre equipment	772	772	-	-	772	-	-	772	-
Computer equipment	112,482	134,027	21,545	-	93,413	20,895	-	114,308	19,719
Pool equipment	22,909	22,909	-	-	22,909	-	-	22,909	-
Town equipment	252,772	261,078	8,306	-	205,965	39,511	-	245,476	15,602
Sidewalks/street	1,800,043	2,458,845	658,802	-	1,222,803	254,721	-	1,477,524	981,321
Cenotaph	10,681	10,681	-	-	3,845	534	-	4,379	6,302
Tractor, trailer and trucks	470,764	455,623	11,111	(26,252)	399,962	52,393	(26,252)	426,103	29,520
Transit bus	458,364	458,364	-	-	236,205	38,197	-	274,402	183,962
Sewer system	14,903,479	15,145,600	242,121	-	2,588,397	236,395	-	2,824,792	12,320,808
Water system	10,377,325	10,749,512	372,187	-	1,885,383	161,194	-	2,046,577	8,702,935
Multipurpose Centre	106,036	106,036	-	-	78,875	16,975	-	95,850	10,186
Playground equipment	92,308	125,213	32,905	-	88,839	17,179	-	106,018	19,195
Park improvements	25,228	25,228	-	-	25,228	-	-	25,228	-
Motor equipment	42,951	42,951	-	-	42,951	-	-	42,951	-
Asset management	-	26,210	26,210	-	-	10,920	-	10,920	15,290
	\$40,055,698	\$2,218,951	\$ (26,252)	\$42,248,397	\$11,748,948	\$1,564,861	\$ (26,252)	\$13,287,557	\$28,960,840

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
TANGIBLE CAPITAL ASSETS
YEAR ENDED DECEMBER 31, 2017

	Cost Beginning of Year	Cost Additions	Disposals and Write- Downs	Cost End of Year	Accum Amort Beginning	Amort in Year	Disposals	Accum Amort Ending	Schedule 2 Net Book Value
Land	\$ 1,740,478	\$ -	\$ -	\$ 1,740,478	\$ -	\$ -	\$ -	\$ -	\$ 1,740,478
Town Hall	1,929,547	-	-	1,929,547	837,272	77,182	-	914,454	1,015,093
Terry Fox Clubhouse	892,104	2,811	-	894,915	244,633	38,541	-	283,174	611,741
Terry Fox Sports Complex	3,649,575	18,618	-	3,668,193	2,165,895	256,998	-	2,422,893	1,245,300
Civic Centre	2,681,992	1,628	-	2,683,620	808,841	132,743	-	941,584	1,742,036
Maintenance and Utility building	362,348	-	-	362,348	176,318	14,495	-	190,813	171,535
Pool	100,483	-	-	100,483	100,483	-	-	100,483	-
Civic Centre equipment	772	-	-	772	772	-	-	772	-
Computer equipment	83,879	28,603	-	112,482	83,417	9,996	-	93,413	19,069
Pool equipment	22,909	-	-	22,909	22,909	-	-	22,909	-
Town equipment	209,739	43,033	-	252,772	168,822	37,143	-	205,965	46,807
Sidewalks/street	1,767,555	32,488	-	1,800,043	1,095,864	126,939	-	1,222,803	577,240
Cenotaph	10,681	-	-	10,681	3,418	427	-	3,845	6,836
Tractor, trailer and trucks	416,323	92,155	(37,714)	470,764	378,187	59,489	(37,714)	399,962	70,802
Transit bus	458,364	-	-	458,364	205,647	30,558	-	236,205	222,159
Sewer system	13,648,643	1,254,836	-	14,903,479	2,402,520	185,877	-	2,588,397	12,315,082
Water system	9,439,596	937,729	-	10,377,325	1,760,894	124,489	-	1,885,383	8,491,942
Multipurpose Centre	65,295	40,741	-	106,036	65,295	13,580	-	78,875	27,161
Playground equipment	92,308	-	-	92,308	85,369	3,470	-	88,839	3,469
Park improvements	25,228	-	-	25,228	25,228	-	-	25,228	-
Motor equipment	42,951	-	-	42,951	42,951	-	-	42,951	-
	\$37,640,770	\$2,452,642	\$ (37,714)	\$40,055,698	\$10,674,735	\$1,111,927	\$ (37,714)	\$11,748,948	\$28,306,750

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - TOWN
15 MONTHS ENDED MARCH 31, 2019

	Schedule 3		
	Budget 2019	Actual 2019	Actual 2017 (12 months)
Revenues			
Municipal property tax	\$ 2,673,739	\$ 2,800,484	\$ 1,668,864
Government transfers for capital - Note 12	189,900	1,255,989	45,753
Government transfers for operations - Note 13	487,126	640,216	883,996
Administration fee - Note 14	75,000	75,000	60,000
Building permits and subdivision fees	50,000	64,275	39,774
Gain on disposal of tangible capital assets	-	50,000	10,988
Fines	53,125	33,812	35,042
Facility rentals	27,663	22,351	22,173
Interest	500	19,639	3,016
Other	8,125	7,059	9,538
	<u>3,565,178</u>	<u>4,968,825</u>	<u>2,779,144</u>
Expenditures			
Administration - Schedule 6	667,235	696,518	512,071
Planning - Schedule 6	254,825	252,679	151,185
Professional Services - Schedule 6	83,875	84,181	98,507
Public Works - Schedule 7	243,855	640,352	450,581
Town Facilities - Schedule 7	234,150	957,785	721,389
Town Services - Schedule 7	1,291,000	1,327,467	1,030,471
	<u>2,774,940</u>	<u>3,958,982</u>	<u>2,964,204</u>
Excess (Deficiency) of Revenue over Expenditures	<u>\$ 790,238</u>	<u>\$ 1,009,843</u>	<u>\$ (185,060)</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - WATER AND SEWER UTILITY
15 MONTHS ENDED MARCH 31, 2019

Schedule 4

	Budget 2019	Actual 2019	Actual 2017 (12 months)
Revenues			
Sewer levies	\$ 737,500	\$ 888,542	\$ 553,502
Water levies	712,500	854,846	533,816
Government transfers for capital - Note 12	175,000	764,257	1,244,989
Municipal Capital Expenditure Grant	-	150,285	98,180
Interest on accounts	22,500	29,168	18,953
Frontage rates	13,750	18,539	11,814
Inspection fees	1,250	2,330	1,750
Other	750	704	60,368
	<u>1,663,250</u>	<u>2,708,671</u>	<u>2,523,372</u>
Expenditures			
Administration fee	75,000	75,000	60,000
Amortization of deferred finance charges	-	-	12,773
Amortization of tangible capital assets	-	432,479	334,370
Debit machine charges	6,875	6,246	4,564
Insurance	37,500	37,209	28,975
Interest on long term debt	136,250	101,043	84,446
Maintenance - lagoon	18,750	9,506	5,866
Maintenance - sewer	56,250	49,730	45,105
Maintenance - water	56,250	46,846	64,370
Memberships	1,250	2,544	1,250
Motor vehicle	25,000	21,770	26,273
Office	16,250	17,570	12,412
Power - sewer	120,500	111,441	84,737
Power - water	70,000	64,846	49,055
Professional fees	46,500	38,389	16,839
Property tax	1,700	1,686	1,652
Salaries and benefits	405,750	425,906	285,257
Telephone	6,250	4,140	4,001
Training and development	12,500	10,052	8,991
Water test and inspections	17,500	18,369	12,242
Water conservation program	5,000	3,580	937
	<u>1,115,075</u>	<u>1,478,352</u>	<u>1,144,115</u>
Excess of Revenues Over Expenditures	<u>\$ 548,175</u>	<u>\$ 1,230,319</u>	<u>\$ 1,379,257</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
STATEMENT OF OPERATIONS - PARKS AND RECREATION
15 MONTHS ENDED MARCH 31, 2019

	Schedule 5		
	Budget 2019	Actual 2019	Actual 2017 (12 months)
Revenues			
Programs	\$ 333,000	\$ 342,863	\$ 276,069
Government transfers for operations:			
- wage subsidies	75,000	229,501	161,072
- recreation leadership	5,000	5,000	5,000
- program support	3,000	2,209	3,970
Sports field rentals	60,100	54,780	54,504
Special events	9,655	7,822	7,658
	<u>485,755</u>	<u>642,175</u>	<u>508,273</u>
Expenditures			
Amortization of tangible capital assets	-	19,496	13,580
APM Centre rental	2,750	1,540	1,126
Events	38,000	18,277	11,771
Motor vehicles	36,250	18,022	18,695
Parks and park equipment maintenance	71,750	50,704	50,153
Pool	8,900	10,102	9,076
Programs	53,600	57,799	46,817
Salaries and benefits	800,000	805,539	605,460
Training and development	8,000	4,277	3,109
Travel	4,375	3,861	2,920
	<u>1,023,625</u>	<u>989,617</u>	<u>762,707</u>
Deficiency of Revenues Over Expenditures	<u>\$ (537,870)</u>	<u>\$ (347,442)</u>	<u>\$ (254,434)</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

Schedule 6

	Budget 2019	Actual 2019	Actual 2017 (12 months)
Administration			
Advertising, printing and subscriptions	\$ 4,000	\$ 5,064	\$ 2,482
Communities 13 Inc. capital projects	16,415	16,415	16,415
Communities 13 Inc.	11,000	10,574	10,545
Computers	9,375	1,450	1,420
Council honoraria	47,000	44,101	36,709
Debit machine charges	5,250	5,265	3,280
Donations	21,500	67,049	20,717
Election	8,570	7,593	6,543
FCM annual meeting	22,500	19,750	22,395
Insurance	42,500	45,873	32,065
Interest on long term debt	129,500	116,594	93,026
Meetings and events	11,250	11,324	8,279
Miscellaneous	6,250	9,768	2,576
Office supplies and postage	25,000	28,578	17,658
Salaries and benefits	268,375	266,491	209,561
Telecommunications	33,125	36,096	26,028
Training and development	4,375	3,555	1,458
Travel	1,250	978	914
	<u>\$ 667,235</u>	<u>\$ 696,518</u>	<u>\$ 512,071</u>
Planning			
Annual conference and membership	\$ 5,000	\$ 2,609	\$ 3,196
Emergency measures plan	1,250	973	877
GIS	2,750	5,182	2,220
Salaries and benefits	228,950	233,299	133,949
Training and development	13,125	7,845	8,503
Travel	3,750	2,771	2,440
	<u>\$ 254,825</u>	<u>\$ 252,679</u>	<u>\$ 151,185</u>
Professional Services			
Audit	\$ 12,500	\$ 9,927	\$ 8,178
Federation of Canadian Municipalities	1,250	1,718	1,211
Federation of P.E.I. Municipalities	10,500	10,336	10,464
Information technology	12,500	12,740	9,611
Legal	20,000	27,338	30,868
Miscellaneous	27,125	22,122	38,175
	<u>\$ 83,875</u>	<u>\$ 84,181</u>	<u>\$ 98,507</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)

TOWN OF CORNWALL
SCHEDULES TO THE CONSOLIDATED FINANCIAL STATEMENTS
15 MONTHS ENDED MARCH 31, 2019

Schedule 7

	Budget 2019	Actual 2019	Actual 2017 (12 months)
Public Works			
Amortization of tangible capital assets	\$ -	\$ 373,367	\$ 234,815
Community maintenance and repairs	25,000	20,807	18,375
Property taxes	2,440	2,216	1,908
Salaries and benefits	170,790	152,531	163,187
Sidewalk maintenance	31,250	72,134	20,210
Small tools and supplies	6,250	5,775	2,030
Tractor	4,000	4,541	5,083
Trucks and snowblower	4,125	8,981	4,973
	<u>\$ 243,855</u>	<u>\$ 640,352</u>	<u>\$ 450,581</u>
Town Facilities			
Amortization of tangible capital assets	\$ -	\$ 739,519	\$ 529,164
Civic Centre	69,750	62,125	49,921
Maintenance building	27,200	28,616	24,511
Terry Fox Clubhouse	39,200	35,938	33,654
Terry Fox Sports Fields	16,000	14,627	13,155
Town Hall	82,000	76,960	70,984
	<u>\$ 234,150</u>	<u>\$ 957,785</u>	<u>\$ 721,389</u>
Town Services			
Animal control	\$ 13,875	\$ 14,276	\$ 11,079
Engagement	12,500	8,680	9,284
Fire dues	307,500	326,760	245,788
Policing services	731,250	761,680	584,161
Street lights	109,000	106,374	91,779
Transit	116,875	109,697	88,380
	<u>\$1,291,000</u>	<u>\$1,327,467</u>	<u>\$ 1,030,471</u>

(Notes 1 to 18 are an integral part of these consolidated financial statements)